



NEED TO KNOW

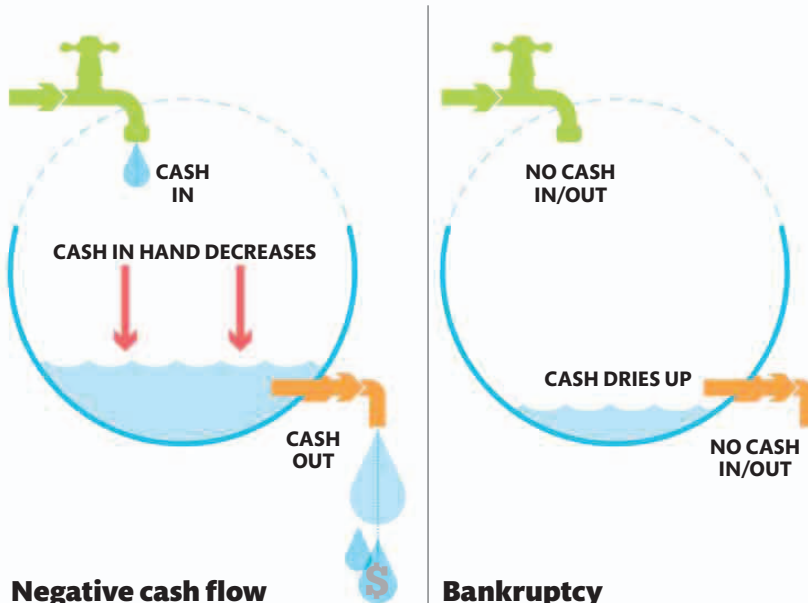
- › **Factoring** Transaction in which a business passes its invoices a third party (factor), which collects payment from the customer for a commission
- › **Accounts payable** Payments a business has to make to others
- › **Accounts receivable** Payments a business is due to receive
- › **Aging schedule** A table charting accounts payable and accounts receivable according to their dates
- › **Cash-flow gap** Interval between payments made and received

Cash conversion

Successful businesses convert their product or service into cash inflows before their bills are due. To make the conversion process more efficient, a business may speed up:

- › Customer purchase ordering
- › Order fulfillment and shipping
- › Customer invoicing
- › Accounts receivable collection period
- › Payment and deposit

80%
of small business start-ups across the world fail because of poor cash-flow management



Negative cash flow

Less cash is flowing into the business than is flowing out. Over time, the stock of cash will decrease and the business will face difficulties.

Bankruptcy

If cash flowing out continues to exceed cash flowing in, cash stock levels will drop so low that the business becomes insolvent—it has no assets left to continue trading.

HANDLING THE FLOW

Managing a surplus

- › **Move excess cash** into a bank account where it will earn interest, or make profitable investments.
- › **Use cash** to upgrade equipment to improve production efficiency.
- › **Expand the business** by taking on new staff, developing products, or buying other companies.
- › **Pay creditors** early to improve credit credentials, or pay down debt before it is due.

Managing a shortage

- › **Increase sales** by lowering prices, or profit margins by raising them.
- › **Issue invoices** promptly and pursue overdue payments.
- › **Ask suppliers** to extend credit.
- › **Offer discounts** on sales invoices in return for faster payment.
- › **Use an overdraft** or short-term loan to pay off pressing expenses.
- › **Continue to forecast** cash flow and plan to avert future problems.